Rating: 78 Outperform Price Target: C$725.00 ▲(31.77% Upside) Action: **REITERATED** Date: **4/30/2026**

Summary

The score is driven primarily by strong financial performance improvements and a very upbeat, guidance-raising earnings call, supported by positive price momentum. The main constraints are valuation (P/E ~31) and execution/cash-flow risks tied to working capital, elevated inventory, and higher capex amid supply constraints.

Bullish Factors

Sustained multi-year revenue scale
Material multi-year revenue expansion demonstrates durable scale across CCS and ATS end markets. Larger scale improves fixed-cost absorption, bargaining power with suppliers and customers, and provides a broader base to support long-term investments and program ramp cadence over the next 2–6 months and beyond.

Improving margins and very strong ROIC
Sustained margin expansion and an unusually high ROIC indicate effective capital deployment and operational leverage. Higher operating margins and return metrics suggest the company can convert scale into durable profitability even in a low gross margin manufacturing profile, improving resilience to cost variation.

Strategic program wins and stronger engineering capability
Large strategic awards and expanded design resources (1,350 engineers) create multi-year, high-complexity program lock ins that raise switching costs and lengthen revenue visibility. These structural wins underpin higher-value CCS ramps and deepen relationships with hyperscalers, supporting durable revenue and margin mix improvement.

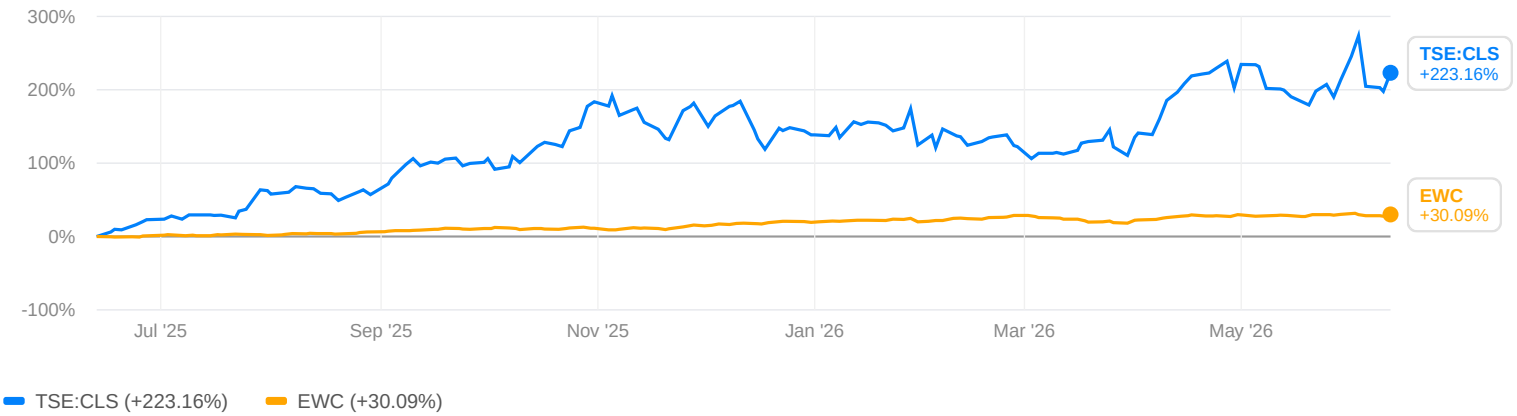
Bearish Factors

Working capital intensity and weak cash conversion
Operating cash flow is modest relative to revenue and the business is working capital intensive. Elevated inventory builds to support CCS growth tie up cash and raise variability in free cash flow, constraining financial flexibility during ramps and increasing sensitivity to timing of customer payments or program delays.

Persistent supply chain and component constraints
Chronic part shortages and extended lead times can gate mass production and defer revenue recognition for multi year programs. Structural supply constraints raise execution risk, can force higher procurement costs, and make delivery and margin outcomes contingent on external supply recovery rather than the firm's operations.

High customer concentration
Relying on a few large customers concentrates demand and pricing risk: shifts in hyperscaler spend, program timing or sourcing decisions by these customers would materially affect revenue and utilization. This structural concentration reduces bargaining leverage and increases sensitivity to single-customer program outcomes.

Celestica (TSE:CLS) vs. SPY (SPY)



Market Cap	**61.88B**	Dividend Yield	**—**	Average Volume (3M)	**456.10K**
Price to Earnings (P/E)	**47.06**	Beta (1Y)	**2.43**	Revenue Growth	**35.69%**
EPS Growth	**129.64%**	Country	**Canada**	Employees	**21,914**
Sector	**Technology**	Sector Strength	**88**	Industry	**Hardware, Equipment & Parts**

Celestica Business Overview & Revenue Model

Company Description

Headquartered in Toronto, Canada, since its incorporation in 1994, Celestica Inc. is a global provider of hardware platform and supply chain solutions, serving clients across North America, Europe, and Asia. The company's operations are strategically divided into two segments: Advanced Technology Solutions and Connectivity & Cloud Solutions. Celestica offers a broad spectrum of services encompassing the full product lifecycle. These include initial design and development, advanced engineering, end-to-end supply chain management, and efficient new product introductions. Their capabilities extend to component sourcing, advanced electronics manufacturing and assembly, comprehensive testing, intricate mechanical assembly, and seamless systems integration. Furthermore, they provide precision machining, streamlined order fulfillment, sophisticated logistics, effective asset management, product licensing, and crucial after-market repair and return services. The company's product portfolio features critical infrastructure for enterprise-level data communications and information processing, such as routers, switches, data center interconnects, edge solutions, servers, and storage products. They also supply fundamental electronic components like capacitors, microprocessors, resistors, and memory modules, alongside other specialized electronics including power inverters, energy storage systems, and smart meters. Celestica serves a wide array of industries and customers, notably those in aerospace and defense, industrial, energy, healthtech, capital equipment, original equipment manufacturing, and a variety of cloud and service providers, including major hyperscalers.

How the Company Makes Money

Celestica makes money primarily by providing manufacturing, engineering, and supply-chain services to original equipment manufacturers (OEMs) and other technology customers under commercial supply agreements. Revenue is largely generated from: (1) manufacturing and integration services—building and assembling electronics and complex systems (including board-level assembly, system integration, test, and configuration) where Celestica earns service margins on production and operational execution; (2) design and engineering services—charging for activities such as product design, hardware/software/firmware development support, design for manufacturability, prototyping, and new product introduction, often as part of broader lifecycle engagements that can lead to follow-on manufacturing volumes; and (3) supply-chain and aftermarket services—earning revenue from procurement and materials management, logistics, fulfillment, repair, refurbishment, and other lifecycle support services tied to customers' deployed products. A significant portion of reported revenue is typically associated with materials and components procured for customer programs and passed through within program economics; profitability is driven by the value-added services (engineering, manufacturing execution, test, integration, and lifecycle services) and the company's ability to manage cost, yield, capacity utilization, and supply-chain efficiency. Segment mix also matters: CCS is oriented to connectivity and cloud-related platforms and tends to be volume/manufacturing and systems-integration heavy, while ATS includes more specialized, higher-complexity programs (e.g., aerospace/defense, industrial, and health-tech) that can include longer program lifecycles and differentiated engineering and compliance requirements. Celestica's earnings are influenced by customer concentration and program wins/ramps, product lifecycle timing, pricing and productivity initiatives, component availability and lead times, foreign exchange, and its ability to manage working capital (particularly inventory) in multi-tier supply chains. Specific significant partnerships are not available as a single definitive list from the information provided here; null.

Celestica Earnings Call Summary

Sentiment positive

Earnings Date	Change Since Filing	Next Earnings
Apr 27, 2026 (Q1-2026)	**-5.87%**	**Jul 27, 2026**

The call was largely positive — management reported strong Q1 results with robust revenue growth (53% YoY), margin expansion, raised full-year guidance (revenue to $19B, adjusted EPS to $10.15) and notable program wins that establish leadership in next generation networking and rack scale systems. Liquidity and balance sheet actions reinforce financial flexibility. Principal risks highlighted were supply chain constraints, elevated inventory and increased capital intensity to support rapid CCS growth; some program ramps are gated and certain mass production timelines extend into 2027. Overall, the favorable operating performance, upgraded outlook and strategic wins outweigh the supply and working capital headwinds.

Highlights

Strong Top-Line Growth
Q1 revenue of $4.05 billion, up 53% year-over-year; CCS segment revenue of $3.24 billion (up 76%) driving 80% of company revenue; ATS revenue $806 million (flat YoY) and 20% of company revenue.

Margin and EPS Improvement
Adjusted operating margin reached 8.0% (a new high for Celestica), up 90 basis points year-over-year; adjusted EPS of $2.16, up $0.96 or 80% YoY and above the high end of guidance.

Gross Margin, ROIC and Profitability
Adjusted gross margin improved to 11.3% (up 30 bps YoY); adjusted ROIC approximately 50%, up more than 18 percentage points versus prior year; segment margins strengthened — ATS margin 6.0% (up 100 bps) and CCS margin 8.6% (up 60 bps).

Upgraded Full-Year Guidance
Raised 2026 revenue outlook from $17 billion to $19 billion (implying ~53% growth); raised adjusted EPS outlook from $8.75 to $10.15 (implying ~68% growth); adjusted operating margin outlook increased to 8.1% (from 7.8%); free cash flow outlook reaffirmed at $500 million.

Robust Demand, Backlog and Program Wins
Management cites the strongest awarded backlog and opportunity pipeline in the CEO's tenure with accelerating hyperscaler demand; announced strategic wins including collaboration with AMD on Helios scale-up networking switch and a landmark 1.6T co packaged optics (CPO) Ethernet switch award (mass production expected in 2027); 10 active 1.6T programs called out.

Liquidity and Balance Sheet Actions
Amended credit facility increased revolver by $1.0 billion to $1.75 billion; available liquidity > $2 billion; gross debt $719 million, cash $378 million, net debt $341 million; gross debt to trailing 12-month adjusted EBITDA leverage of 0.6x (improved YoY).

Q2 and Near-Term Guidance
Q2 revenue guidance $4.15–$4.45 billion (midpoint ~49% YoY growth); Q2 adjusted EPS guidance $2.14–$2.34 (midpoint ~61% YoY growth); anticipated Q2 non-GAAP operating margin ~8.0%.

HPS and R&D Investment Supporting Future Growth
HPS revenue $1.7 billion in Q1 (up 63%), representing 42% of company revenue; R&D and design capability increased (about 1,350 design engineers currently) supporting high-value HPS programs and longer-term ramps.

Lowlights

Supply Chain and Component Constraints
Management noted increasing component shortages versus 90 days ago — constrained commodities include custom silicon, memory, 40+ layer PCBs, power and optical components; lead times have extended and some ramps are gated by component availability.

Program Timing and Ramps Pushed into 2027
Certain next-generation ramps and mass production (e.g., CPO 1.6T switch mass production) are expected to commence in 2027 rather than accelerating fully in 2026, limiting near-term revenue upside.

Inventory Build-Up
Inventory rose to $2.67 billion at quarter end — up $485 million sequentially and $885 million YoY as the company stocked to support CCS growth, increasing working capital and cash deployment.

Free Cash Flow and Capital Intensity Pressure
Q1 free cash flow of $138 million is modest relative to strong revenue growth and higher quarterly capex ($230 million); elevated capex guidance ($1.0B for 2026 and potential ~ $1.5B in 2027) increases capital intensity and near-term cash demands.

Customer Concentration Risk
Three customers each represented at least 10% of revenue in the quarter, accounting for 35%, 15% and 15% of revenue respectively (totaling ~65%), indicating notable revenue concentration risk.

Input Cost Headwinds
Management flagged potential gross margin headwinds from rising input costs (memory, silicon) even as they pursue operating leverage; these input cost pressures could limit margin expansion if sustained.

Resolved but Present Near-Term Supply Impacts
Q1 AI/ML compute ramp was partially gated by component constraints (material supply issue) — management said it is resolved but this illustrates sensitivity of specific programs to supply availability.

Company Guidance

Celestica's guidance called for Q2 2026 revenue of $4.15–$4.45 billion (midpoint +49% YoY) and adjusted EPS of $2.14–$2.34 (midpoint +61% YoY), with an expected non GAAP operating margin of ~8.0% (up ~60 bps) and an adjusted effective tax rate of ~21%; segment Q2 revenue was guided to mid single digit growth for ATS, ~+50% for CCS communications and ~+130% for CCS enterprise. For full year 2026 the company raised revenue guidance from $17B to $19B (+53% YoY), lifted adjusted EPS to $10.15 (from $8.75, +68% YoY), targets an adjusted operating margin of 8.1% (vs. prior 7.8%), reaffirmed $500M of free cash flow while planning ~ $1B of CapEx, and now expects CCS roughly +70% YoY and ATS mid to high single digit growth; liquidity was strengthened by upsizing the revolver by $1B to $1.75B (> $2B available liquidity), with net debt of $341M and gross debt/TTM adjusted EBITDA of 0.6x.

Celestica Financial Statement Overview

Summary

Strong operating trajectory: revenue scaled materially (to $13.8B TTM) with improved profitability (net margin ~6.7%, EBIT margin ~8.4%). Balance sheet leverage is moderate and improving (debt-to-equity ~0.41) with very strong ROE, but cash conversion is the key weakness (OCF low vs revenue; working-capital intensity and variability risk).

Income Statement 84 Very Positive

Celestica shows a strong multi-year improvement in scale and profitability. Revenue rose from ~$5.6B (2021) to $12.6B (2025) and $13.8B in TTM (Trailing-Twelve-Months), with TTM growth at 11.3%. Profitability has expanded meaningfully over time, with net margin improving from ~1.8% (2021) to ~6.7% (2025–TTM) and EBIT margin rising to ~8.4% (2025–TTM). The main weakness is that gross margin remains relatively thin (~11–12%), which can leave results more sensitive to pricing and cost pressures typical in hardware/manufacturing.

Balance Sheet 76 Positive

Leverage looks controlled and improving, with debt-to-equity declining versus earlier years (from ~0.54 in 2021 to ~0.41 in 2025–TTM). Equity has also grown alongside the business, supporting the balance sheet. Returns are very strong (return on equity ~38% in 2025 and ~48% in TTM (Trailing-Twelve-Months)), indicating effective profit generation relative to capital. The key risk is that returns are high in a relatively low-margin business, so any margin reversal could pressure profitability quickly even if headline leverage is moderate.

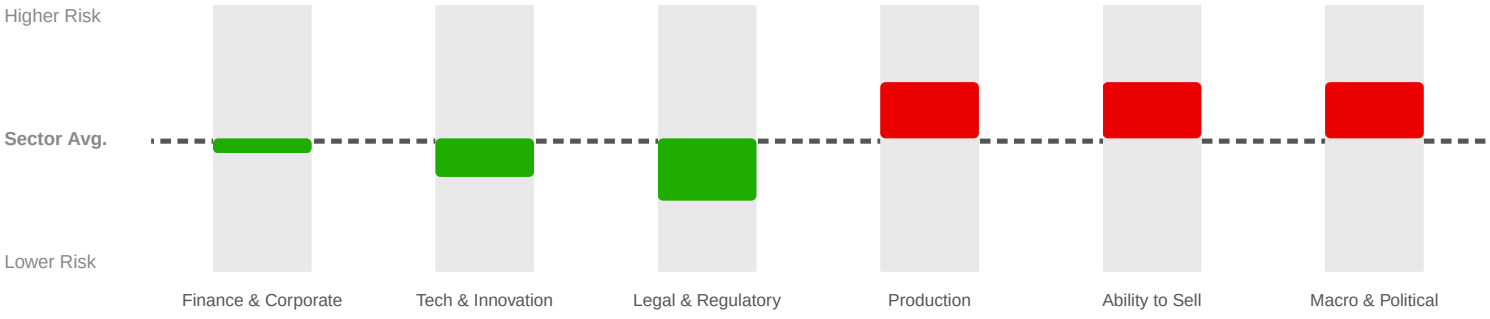
Cash Flow 64 Positive

Cash generation is positive and rising in dollars (operating cash flow up from ~$227M in 2021 to ~$671M in 2025 and ~$888M in TTM (Trailing-Twelve-Months)), and free cash flow is solid ($466M in 2025; $493M TTM). Free cash flow tracks net income reasonably well (about ~0.69x in 2025–TTM), which supports earnings quality. However, cash conversion remains the weak spot: operating cash flow is low relative to revenue (roughly ~10% in 2025–TTM), and the provided operating cash flow coverage ratio is consistently modest (~0.10–0.17), suggesting working-capital intensity and potentially more variability quarter-to-quarter.

Breakdown	TTM	2025	2024	2023	2022	2021
Income Statement						
Total Revenue	13.81B	12.61B	9.65B	7.96B	7.25B	5.63B
Gross Profit	1.60B	1.47B	1.03B	778.50M	636.30M	487.00M
EBITDA	1.36B	1.23B	736.20M	545.30M	408.10M	294.00M
Net Income	959.74M	847.07M	428.00M	244.60M	145.50M	103.90M
Balance Sheet						
Total Assets	8.26B	7.20B	5.99B	5.89B	5.63B	4.67B
Cash, Cash Equivalents and Short-Term Investments	378.00M	594.52M	423.30M	372.60M	374.50M	394.00M
Total Debt	772.40M	914.03M	796.70M	782.80M	786.10M	794.40M
Total Liabilities	6.16B	4.99B	4.09B	4.12B	3.95B	3.20B
Stockholders Equity	2.10B	2.21B	1.90B	1.77B	1.68B	1.46B
Cash Flow						
Free Cash Flow	492.74M	466.32M	303.00M	304.60M	188.90M	174.60M
Operating Cash Flow	887.94M	671.04M	473.90M	429.70M	297.90M	226.80M
Investing Cash Flow	-386.58M	-207.27M	-212.50M	-122.40M	-108.90M	-364.30M
Financing Cash Flow	-420.39M	-288.46M	-208.50M	-311.40M	-208.50M	67.70M

Celestica Risk Analysis

Celestica disclosed 64 risk factors in its most recent earnings report. Celestica reported the most risks in the "Finance & Corporate" category.



Latest Risks Added

3 New

1. Potential dilution from equity compensation and other share issuances.
   Q4, 2025

2. Increased capital expenditures to expand capacity to support anticipated growth in customer demand may not proceed as anticipated and may increase our fixed-cost base, constrain liquidity and adversely affect returns.
   Q4, 2025

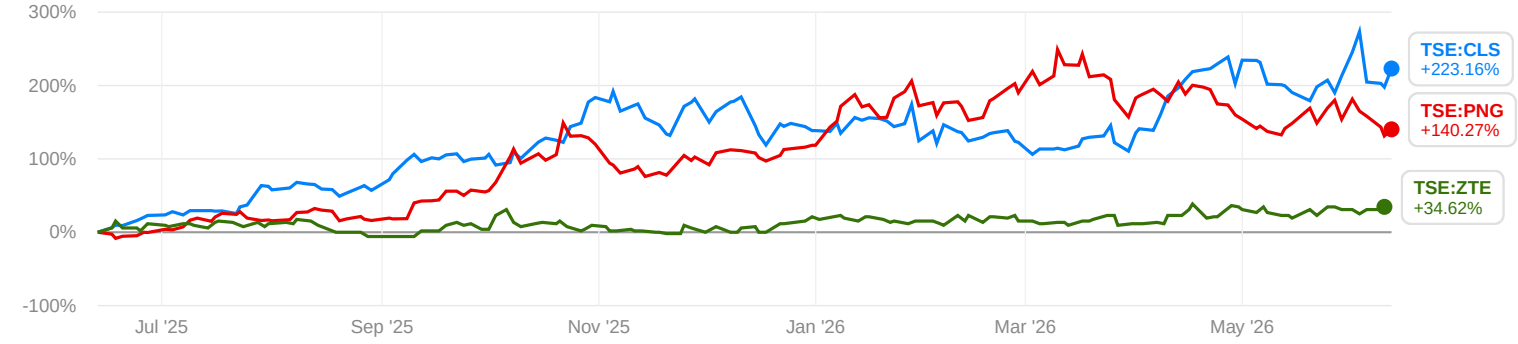
3. Adoption, integration and use of AI in manufacturing and service offerings and in certain of our internal processes may present regulatory, ethical, data and cybersecurity risks and result in reputational harm or liabilities.
   Q4, 2025

Celestica Peers Comparison

Financial Indicators

Name	Overall Rating	Market Cap	P/E Ratio	ROE	Dividend Yield	Revenue Growth	EPS Growth
TSE:CLS Celestica	**78** Outperform	61.88B	47.06	47.71%	—	35.69%	129.64%
TSE:ZTE ZTEST Electronics	**77** Outperform	12.93M	9.38	20.37%	—	-1.99%	-2.67%
TSE:PNG Kraken Robotics Systems Inc	**51** Neutral	2.19B	-3172.50	-0.33%	—	24.54%	-103.47%

** technology Sector Average*



TSE:CLS (+223.16%) TSE:PNG (+140.27%) TSE:ZTE (+34.62%)

Ticker	Company Name	Price	Change	% Change
TSE:CLS	Celestica	550.22	11.97	2.22%%
TSE:ZTE	ZTEST Electronics	0.34	-0.01	-2.86%%
TSE:PNG	Kraken Robotics Systems Inc	7.04	-0.08	-1.12%%

Celestica Corporate Events

Mar 24, 2026

Celestica Reshapes Board Leadership and Adds Semiconductor Veteran to Drive Next Growth Phase

Celestica announced that long-time Chair Michael Wilson will retire ahead of its May 19, 2026 annual shareholder meeting, with President and CEO Rob Mionis assuming the additional role of Board Chair and veteran director Laurette Koellner becoming Lead Independent Director. The planned succession is designed to combine unified leadership at the top with strengthened independent oversight, signaling continuity in strategy and governance as the company pursues its next phase of growth.

The company also appointed semiconductor and technology veteran David Reeder to its Board effective May 1, 2026, bringing deep financial and operational expertise from leadership roles at Entegris, Chewy, GlobalFoundries, and other technology firms. With Reeder's appointment, Celestica's Board will expand to nine members, enhancing its strategic and financial bench strength as it targets further expansion in data center and high-growth technology markets.

The most recent analyst rating on (TSE:CLS) stock is a Hold with a C$330.00 price target. To see the full list of analyst forecasts on Celestica stock, see the TSE:CLS Stock Forecast page.

positive Business Operations and Strategy Executive/Board Changes

Glossary

Buy

A stock rated as a "Buy" is expected to perform better than the overall market or a specific benchmark over the near-to-medium term. This rating suggests the stock is likely to deliver higher returns compared to other stocks in the same sector or market index. Note: This is not investment advice; please consult a financial advisor before making investment decisions.

Hold

A stock rated as a "Hold" is expected to perform in line with the overall market or a specific benchmark. This rating indicates that the stock is neither particularly compelling nor unfavorable for investment. Note: This is not investment advice; please consult a financial advisor before making investment decisions.

Sell

A stock rated as a "Sell" is expected to perform worse than the overall market or a specific benchmark over the near-to-medium term. This rating suggests the stock may deliver lower returns compared to other stocks in the same sector or market index. Note: This is not investment advice; please consult a financial advisor before making investment decisions.

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